

**SECURITIES AND EXCHANGE BOARD OF INDIA
SECONDARY MARKET DEPARTMENT
Mittal Court, A Wing, Gr. Floor,
224, Nariman Point, Mumbai 400 021**

SMDRP/POLICY/Cir-21/2000
10 May, 2000

To

The Presidents/ Executive Directors and
Managing Directors of all the Stock Exchanges

Sir,

Statement on utilisation of funds - Clause 43 of the Listing Agreement.

In terms of our circular nos. SMD/SED/N/JJ/4984/94 dated September 23, 1994 and SMD/Policy/Cir-12 dated April 07, 1998 it was provided by Clause 43 of the listing agreement that the companies which mobilise funds from the public through public/rights issues would provide to the Stock Exchanges and publish a statement showing the variations between the projected utilisation of the fund and/or projected profitability statement made by it in its prospectus or letter of offer and the actual utilisation of funds and/or actual profitability **on an half yearly basis.**

In order to enhance the continual disclosure standards it has now been decided that the statements required to be provided vide Clause 43 would now be on **a quarterly basis.** It should be published along with the un-audited/audited financial results as required under Clause 41.

Accordingly, you are advised to amend the listing agreement of the exchange immediately and intimate the same to SEBI.

Yours faithfully,

**M D PATEL
EXECUTIVE DIRECTOR
SECONDARY MARKETS DEPARTMENT
e-mail : mdp@sebi.gov.in**